

Memorandum

Sample document. All names and facts are fictitious.

TO: Margaret Okafor, Partner

FROM: Daniel Reyes, Associate

DATE: September 29, 2026

RE: Enforceability of the Vail non-compete agreement (revised)

Question Presented

Can Pinecrest Outfitters enforce the non-competition covenant in Jordan Vail's employment agreement to prevent Vail from working for Ridgeline Supply Co. as a store manager?

Brief Answer

Possibly, but only in narrowed form. The covenant protects Pinecrest's legitimate interest in its confidential vendor terms, and its eighteen-month duration is reasonable. Its 100-mile radius is likely overbroad, and a court may decline to enforce it at all rather than rewrite it.

Statement of Facts

Pinecrest Outfitters, Inc. operates eleven outdoor-equipment stores. In 2022 it hired Jordan Vail as a regional sales manager. As a condition of employment, Vail signed an agreement providing that for eighteen months after leaving Pinecrest, Vail would not work for any competing retailer within 100 miles of any Pinecrest store. Vail received no compensation for signing beyond the job itself.

In August 2026 Vail resigned and accepted a store-manager position with Ridgeline Supply Co., a competing retailer whose nearest store is 40 miles from a Pinecrest location. Vail took no documents when leaving, but knows Pinecrest's seasonal pricing strategy and its vendor terms.

Discussion

Courts in this state enforce a covenant not to compete only if it is supported by consideration, negotiated in good faith, necessary to protect a legitimate business interest, and reasonable in its restrictions on time and area. *Harlow v. Dunmore Supply Co.*, No. 24-0117, slip op. at 5-6 (Ct. App. 2025). The employer bears the burden on each element.

A. Consideration

Initial employment is sufficient consideration for a covenant signed at the start of employment. Vail signed when hired, so this element is satisfied.

B. Legitimate Business Interest

An employer may not restrain ordinary competition; it may protect only goodwill, trade secrets, or confidential information that the employee could use unfairly. Harlow, slip op. at 8. Pinecrest's vendor terms are not publicly available and would give Ridgeline an advantage it did not earn. This element likely favors Pinecrest.

Vail will argue that pricing information becomes stale quickly in retail. That argument is persuasive for the seasonal pricing strategy, which Pinecrest resets each spring, so we should not rely on it. It is much weaker for vendor terms, which Pinecrest negotiates on multi-year cycles.

C. Reasonableness of Time and Area

Restrictions of one to two years are routinely upheld. See *Corbin Medical Group v. Asante*, No. 21-0442, slip op. at 11 (Ct. App. 2022). A 100-mile radius around each of eleven stores, however, covers most of the state's populated areas and reaches markets where Vail never worked. A court may narrow an overbroad restriction rather than void it, but is not required to do so, and it is less likely to help an employer that drafted the restriction aggressively. Harlow, slip op. at 12-13.

D. Good Faith

Pinecrest used the same form agreement for every manager regardless of territory, and Vail had no opportunity to negotiate it. A court could treat the uniform 100-mile radius as evidence that the restriction was not tailored to any real interest. We should collect any evidence that the radius was chosen for a business reason.

Conclusion

Pinecrest's position is weaker than it first appeared. Rather than threaten litigation, we recommend sending Ridgeline a letter that identifies the agreement and offers to limit enforcement to the two stores in Vail's former region for twelve months. That offer strengthens our position if a court is later asked to narrow the covenant.